Introduction to Social and Solidarity Economy

Chapter 4 – Partnerships, resources and governance

"Introduction to Social and Solidarity Economy"

RULE Course, Phnom Penh
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Introduction

- As seen before, SSE encompasses a diversity of statutes, of activities, of economic importance
- What about the resources of SSE?
  - Their nature is quite diversified
  - Their origins have consequences on their project. Resources should be adapted to the mission stated by the OSSE
  - The diversity of resources may be linked to the importance of partners (who provide resources)
- This also leads to questions on governance

Plan

1. SSE and the plurality of economics forms
2. Resources hybridization
3. Partnerships
4. Participatory or democratic governance

1. SSE and the plurality of economics forms

- Polanyi (1944, 1957): every real-world economy includes and combines various economic forms
  (that is, how interdependencies are organized):

Market exchange	Reciprocity	Redistribution	Householding
Based on a price that covers costs (or most of)	Reciprocal support between persons or groups (forms of give-and-take) - It can be non-monetary - It includes gift giving → e.g. rotative savings (tontines), mutual aid in rural areas… → donations	A central institution pumps resources and re-injects them → e.g. public subsidies (from governments)… or private subsidies (from foundations)	Managing households → Can also be considered community sharing

1. SSE and the plurality of economics forms

- According to Polanyi,
  - In contemporary societies, market exchange dominates the others, but it should not exclude them

Market exchange	Reciprocity	Redistribution	Householding

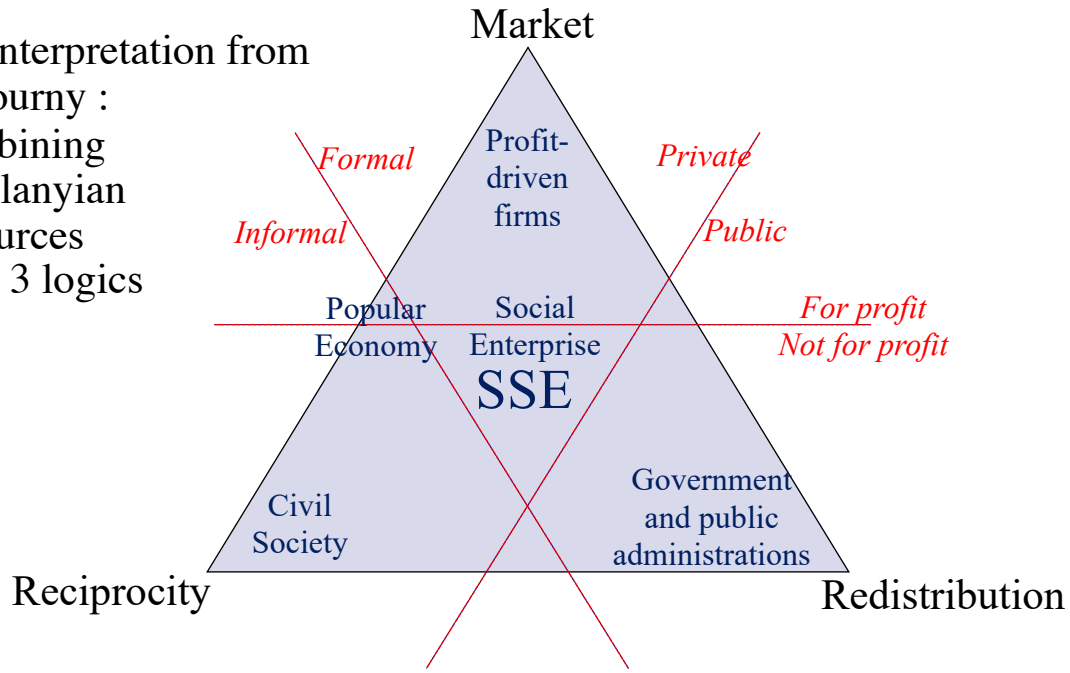
  - Completely "disembedding" the economy, that is, excluding redistribution, reciprocity and householding, and focusing only on market exchange, is impossible
  - This plurality of economic forms is to be acknowledged, not refused

1. SSE and the plurality of economics forms

- Consequences of this conception of the economy:
  - Economic activities go beyond the sole market activities (and they go beyond profit-driven companies as well)
  - Non-monetary and non-market activities participate to well-being… and to wealth creation
    (our own learning-by-doing and our own networks of relationships, for example, contribute to our economic capacity to work and get an income
    → social sciences refer to "human capital" and "social capital")
- What consequences in our understanding of SSE?
  - SSE is a set of activities built on combinations of various of these economic forms
  - Partnerships are important as resource providers

1. SSE and the plurality of economics forms

- An interpretation from Defourny : combining 3 Polanyian resources with 3 logics



- SSE often hybridizes various forms of economy and resources, by mobilizing partners

2. Resources hybridization

- Notion of « resources hybridization » for OSSE:

Origin of resources→ Resources ↓	Users and specific customers	Private organizations (businesses, foundations)	Public administrations, governments
Ressources from the double quality	Fees and capital brought by members		
Market resources	Private purchases (from individuals, businesses, SSE)		Public purchases
Redistributive resources	/	Sponsorship, prizes, grants	Subsidies, grants
Resources from the gift (or reciprocity)	Volunteering, donation	/	/
	Givings under money form or in kind		

2. Resources hybridization

- This results in "socio-economic models":
  - Private market sales dominance
  - Public subsidies dominance
  - Public market dominance
  - Reciprocity dominance
  - Balanced hybridization…
- Depending on models,
  - SSE organizations may develop dependencies to a few number or resource provider
  - Dependencies can be positive if contracts are long-lasting, subsidies are generous and the partner is benevolent, otherwise they can be dangerous
  - Balancing sources of incomes is not an easy task
- In any case, there is a double relationship between the resources and the project: one influences the other

2. Resources hybridization

- Remarks:
  1. **Resources are notably composed by the economic participation of members (if any):**

Social enterprises without SSE statutes *(DDD)* and social business *(1001 Fountains)*	Co-operatives *(Agricultural cooperatives)*	Mutual societies *(SKY)*	Asso or CSO (including NGOs) *(fishermen, AAC)*	Foundations (including NGOs) *(Krousar Thmey)*
Depends! Are there members?	Capital. Members must buy shares to become shareholders, ie owners of the cooperative	No capital. Membership fee allows to get services. Must be renewed regularly		No capital, but fund. No members, but trustees

2. Resources hybridization

2. **In SSE, the activity is not profit-driven:**

- For-profit is to be distinguished with market activities:

Market activities	≠	For-profit or profit-driven organization
Selling goods at a market price and getting the price as the main resource of the organization	≠	Shareholders can claim for the whole surplus through dividends

- In Statutory SSE (that is, CMAF),
  - either there are no shareholders (Associations, Mutuals, Foundations),
  - or there are shareholders (Cooperatives) but law and statutes prevent profits from being entirely used for dividends: an important part of profits has to be used to the cooperative itself
- In Non-Statutory SSE, no law prevents this, but the "social mission" predominates. Consequently, profits are made secondary to it, and they are mostly reinvested rather than used as dividends

2. Resources hybridization

- Market and non-market resources may be **substitutes**…
  - As seen above, non-market resources encompass…: subsidies, grants, donations, volunteering, memberships, etc.
  - In the "School of Market resources" of Social enterprises, according to Defourny and Nyssens, Social enterprises developed at first on the basis of market resources to face the withdrawal of public subsidies
- … but **the nature of resources changes the SSE project**
  - Resources matter: they have an influence on the projects and practices
  - Market resources introduce market competition and require efficiency
  - → e.g. the case of Friends International and others:
    - Market activities are a matter of diversification of resources
    - Market resources are more stable and reliable than government subsidies and foundations grants (cf works of Khieng & Frölich)
    - Market activities (catering) help build quality training, skills and finally provide good quality services

2. Resources hybridization

- Is market compatible with social purposes?
  - The dependency of social programs to market sales might produce unintended negative effects.
    For example:
    - In WISE, there can be an incentive to keep working the former trainees longer than requested, because when they become skilled there are more productive
    - There is a risk of trade-off between education and training / and market activity
    - There is a risk of "mission drift", as frequently observed in Microfinance: being profitable require to avoid the poorest and/or enforce high interest rates

2. Resources hybridization

- Market dependency is then also a factor of "institutional isomorphism" (Di Maggio and Powell, 1983):
  - = when organizations conform themselves to standard models
  - Those models are not necessarily compatible with the initial project
  - E.g., to be more competitive, an NGO hires a manager trained for profit companies, not aligned with NGO's specificities

3. Partnerships

- What do partnerships bring to an OSSE?
  - Funds → contribution to OSSE's monetary resources
  - Skills → contribution to OSSE's labour resources
  - Visibility
  - Supply chains
  - …
- Who partners with an OSSE?
  - Other OSSE
  - Private companies
  - Governments
  - International organization…

3. Partnerships

- Partnerships may depend from the 4 main directions in SSE

Social innovation

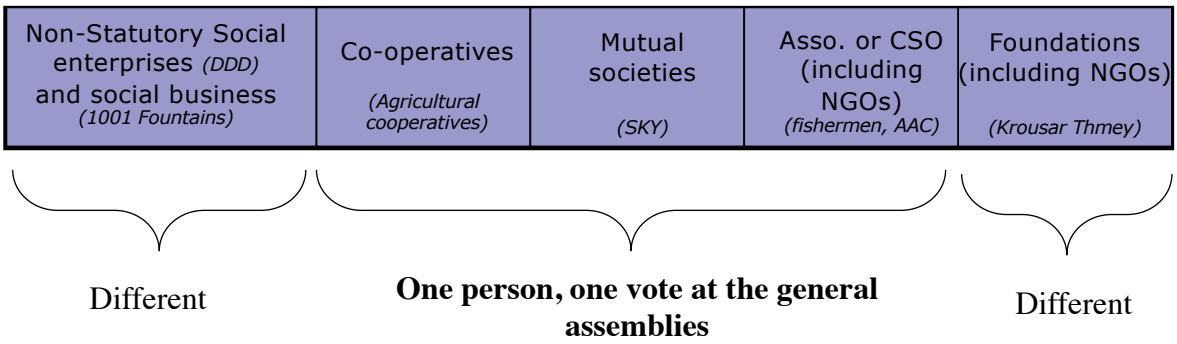
	Acting within the existing context	**Searching for new ways**
Acting in and by the market	**(1) Assimilation** Partnerships are rarely important, and mostly technical (= to get proper technologies and materials)	**(2) Problem-solving** Partnerships to get access to required resources: access to purported public, skills…
Acting outside the market or sidestepping market	**(3) Repairing failures** Major role of private and public partners for getting non-market resources (private or public)	**(4) Alternative** Partners are mainly other OSSE, hardly governmental or ordinary businesses

Isomorphism tendencies (conforming to market-related rules)

4. Participatory or democratic governance

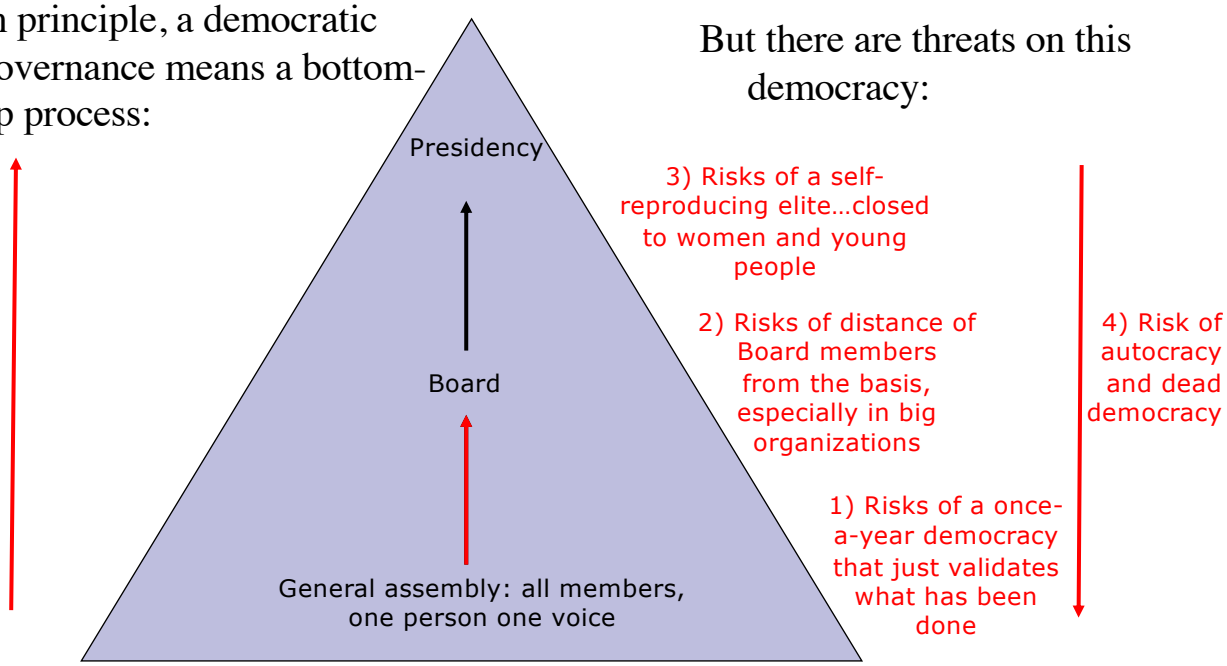
- SSE displays a diversity of statutes, of activities, of economic importance, but also a combination of those following features:

Democratic principle:



4. Participatory or democratic governance

In principle, a democratic governance means a bottom-up process:



Resources and partners of OSSE, in the cases of the course

Partners	Action
Who?	For what?

Resources	Case
Market resources (selling at a price)	Yes (how important?) / No
Memberships (cooperative shares or membership fees)	
Private redistribution (grants, prizes, sponsorship, from companies, foundations or other NPOs)	
Public redistribution (grants, subsidies, from governments, public administration, international oganizations)	
Volunteering (work time)	
Other givings (money, in kind)	